

ultimately published in the *Journal of Wealth Management* in the fall of 2003 and, at the time, was one of the most popular articles in that issue.

Since that time, I have written several papers, a new Wiley book entitled *Advising Ultra Affluent Clients and Family Offices*, and a monthly column for MorningstarAdvisor.com that have expanded my work. In 2008, I published “Behavioral Investor Types,” an article that ran in the *Journal of Financial Planning*. This work attempts to categorize investors into four “behavioral investor types,” which will be reviewed in this book briefly and fully explained in my next Wiley book, entitled *Behavioral Finance and Investor Types*, coming out later in 2012 or 2013. As a wealth manager, I have found the value of understanding the behavioral finance and have discovered some useful ways to adjust investment programs for behavioral biases. You will learn about these methods. By writing this book, I hope to spread the knowledge that I have developed and accumulated so that other advisors and clients can benefit from these insights.

WHO SHOULD USE THIS BOOK?

The book was originally intended as a handbook for wealth management practitioners who help clients create and manage investment portfolios. As the book evolved, it became clear that individual investors could also greatly benefit from it. The following are the target audience for the book:

- *Traditional Wire-house Financial Advisors.* A substantial portion of the wealth in the United States and abroad is in the very capable hands of traditional wire-house financial advisors. From a historical perspective, these advisors have not traditionally been held to a fiduciary standard, as the client relationship was based primarily on financial planning being “incidental” to the brokerage of investments. In today’s modern era, many believe that this will have to change, as “wealth management,” “investment advice,” and brokerage will merge to become one. And the change is indeed taking place within these hallowed organizations. Thus, it is crucial that financial advisors develop stronger relationships with their clients because advisors will be held to a higher standard of responsibility. Applying behavioral finance will be a critical step in this process as the financial services industry continues to evolve.
- *Private Bank Advisors and Portfolio Managers.* Private banks, such as U.S. Trust, Bessemer Trust, and the like, have always taken a very solemn, straightlaced approach to client portfolios. Stocks, bonds, and cash were really it for hundreds of years. Lately, many of these banks have added such nontraditional offerings as venture capital, hedge